

SRF Stabilization Engine

① Reserve-Funded Feedback Intervention

Local Ref. & Signals

$$P^*_t = (1/W) \sum P_{t-k}, W=7$$
$$e_t = (P^*_t - P_t) / P^*_t$$
$$v_t = (P_t - P_{t-1}) / P_{t-1}$$

7-day rolling local reference

PD Rule + Deadband

$$u_t = R_t(\omega_p e_t - \omega_d v_t)$$
$$\omega_p=0.10, \omega_d=4.0$$

gate: $|e_t| \geq \tau = 0.04$
deriv.-dominated; suppresses noise

AMM Execution + Rate Limit

Constant-product $A_t B_t = k$
 $\delta_{rl} = 0.04$ max impact/day
cap: reserve R_t , inv. H_t
buy $\uparrow$ or sell $\downarrow$ native token

ΔP_t^{SRF}

Price impact
 $\Delta R_t, \Delta H_t$

② Volatility-Triggered Dynamic Supply Locking

Excess Volatility $\Delta \sigma_t$

$$\Delta \sigma_t = \max(0, \sigma_s - \sigma_b)$$

σ_s : short-window std. dev.
 σ_b : baseline-window std. dev.
excess stress signal

Lock Ratio & Escrow

$$l_t = \min(l_{\text{max}}, \gamma \cdot \Delta \sigma_t)$$
$$S_t^{\text{lock,*}} = l_t \cdot \theta_t \cdot S_t^{\text{tot}}$$

θ_t : opted-in eligible share
treasury + staking + LP

Free-Float Dampening

$$r_t^{\text{eff}} = r_t^{\text{mkt}} \cdot (1 - \lambda_t)$$
$$\lambda_t = S_t^{\text{lock}} / S_t^{\text{tot}}$$

thaw rate ζ on recovery
not burned — escrow only

$\lambda_t, S_t^{\text{lock}}$

Free-float
reduction

③ Dynamic Reserve-Refilling Tax

Reserve Gap

$$R^*_t = \rho \cdot MC_t$$
$$\text{gap} = \max(0, 1 - R_t/R^*_t)$$

ρ : target reserve ratio
zero tax if $R_t \geq R^*_t$

Dynamic Tax Rate η_t

$$\eta_t = \eta_{\text{max}} \cdot \max(0, 1 - R_t/R^*_t)$$
$$\eta_{\text{max}} = 0.05 \text{ (5\% cap)}$$

levied on marketplace txns
smooth, user-visible cost

Tax Inflow & Reserve Update

$$\Delta R_t^{\text{tax}} = \eta_t \cdot \text{Vol}_t \cdot MC_t$$
$$R_{t+1} = R_t + \Delta R_t^{\text{tax}} - |u_t|$$

applied before intervention
self-financing mechanism

ΔR_t^{tax}

Reserve
replenishment

$$P_{t+1} = \max[P_t \text{Price Update} - \Delta P_t^{\text{SRF}}, \varepsilon] \text{ where } r_t^{\text{eff}} = r_t^{\text{mkt}} \cdot (1 - \lambda_t)$$

Closed-loop feedback: updated state X_{t+1} becomes input at next step $t+1$

Marketplace

State X_t

P_t (token price)
 $S_t^{\text{tot}}, S_t^{\text{free}}, S_t^{\text{lock}}$
 θ_t (eligible supply)
 R_t, H_t (reserve state)
 $MC_t = P_t \cdot S_t^{\text{free}}$
 Vol_t (daily turnover)
 σ_s, σ_b (vol. windows)
Pool depth LD_t
 M_t, B_t (BME flux)

feeds all three
mechanisms below

Color Legend

- Reserve Intervention
- Supply Locking
- Dynamic Tax
- Output / State